LEARNING CENTRE

RETURN ON INVESTMENT

Use this formula to find out how your investment is doing and how much you are actually gaining from it



Illustration by **SIDDHANT JUMDE**

You have made investments, and your expectation is that you will make money, that is, profit from it. Now, you don't invest in a single instrument, you invest across several of them such as stocks, funds, bonds, fixed deposits (FDs) and so on. So, how will you know which one is doing well or better than the others, make an informed decision on which one is bringing you more profits? The return on investment, or RoI, can help you evaluate potential investment opportunities or show how actual investments perform as a percentage return on investment.

RoI is a financial ratio expressed as a percentage, used as a metric to evaluate investments and rank them compared to other investment choices. You can use a basic RoI formula by using all relevant costs when computing the RoI. The most basic formula is the one where the initial or invested value of an investment is subtracted from its end value and the remainder is divided by the initial investment cost. For example, let's say you invested Rs 10,000 in a mutual fund scheme, which grows to Rs 11,000 at the end of the year. It works out to an RoI of [(11,000-10,000)/ 10,000] X100, that is, 10 per cent.

A positive RoI means the investment is positive, but a negative RoI is also possible, which indicates loss. Now, for someone who has traditionally been only an FD investor earning, say, 7 per cent returns, its performance vis-a-vis the above mutual fund scheme is easily comparable—the RoI from the mutual fund is better than the FD. Likewise, one could compare multiple financial instruments based on their RoI.

But there is a flip side to RoI because this metric does not factor in risk or the time frame of an investment. For instance, the riskier the investment, the higher the projected RoI, which may make it an attractive option. However, riskier investments could also mean losing money, which will bring your RoI down to zero or in the negative and cost you your capital. Think of investments in junk bonds in which lower rated bonds are offered at higher interest rates to mask the investment risk. The upside of the RoI works theoretically, but it fails badly when the company fails.

In the absence of a timeframe, the RoI is dubious. For instance, it is incorrect to conclude that an RoI of 20 per cent on two instruments is the same when one of them takes a year to reach this goal while the other takes four. This can make a 12-month investment that returns 20 per cent a much better deal compared to the 20 per cent RoI after 4 years.

As an investor, it is important to understand RoI and its role in investing, but it should not be the only indicator to evaluate potential investment opportunities. However, when making a decision about an investment, use RoI as one of several tools to evaluate different options. It can play an important role in giving you a more rounded picture and help you understand the potential upsides and downsides of an investment. ■

–Narayan Krishnamurthy

IT IS IMPORTANT TO UNDERSTAND RoI AND ITS ROLE IN INVESTING. IT SHOULD NOT BE THE ONLY INDICATOR TO EVALUATE POTENTIAL OPPORTUNITIES